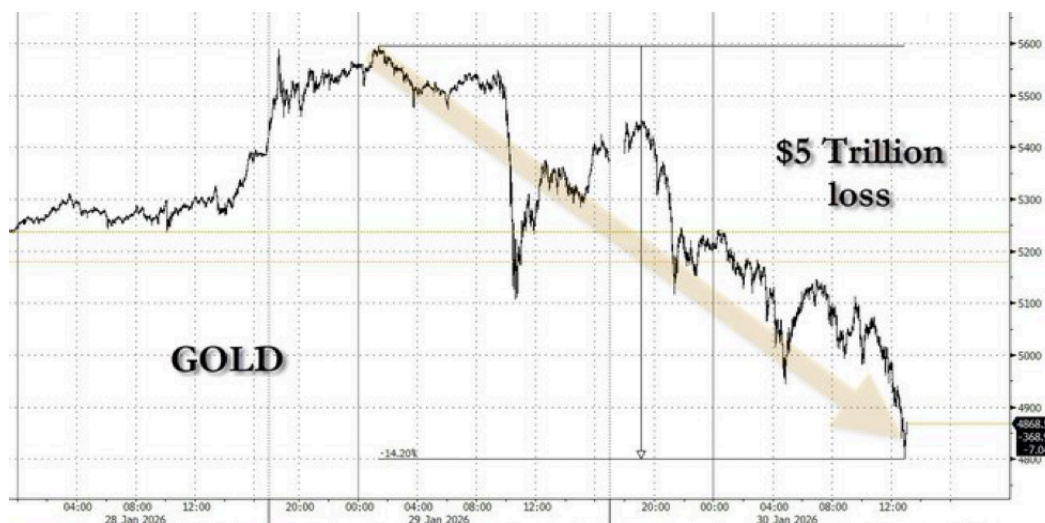


February 6th, 2026

I'd beg to say this current environment is beset with more financial and geopolitical headlines than any writer can possibly swallow. From Davos' commentary, to software names meeting the guillotine, to gold's climb over \$5,500 and subsequent multi-trillion-dollar wipeout, hardly any worldly leaders are sleeping well. Not to mention, our country is set to realize a new Fed chair in a matter of months. Like my vehicle, the 'check engine' light appears to be on in the world today.

Before I dive into a few select names, one other fascinating thing to me about Trump's handle on the market is the price action of gold. Everyone and their mom knew Trump was a gold bug, possibly the biggest. Biden wins in 2020 and gold falls 22% before bottoming in late 2022. With just that bit of evidence you could've bought gold after the 2024 election and be sitting on gains of 50% or more. Of course, like other assets there will be time when gold free falls, the question is how high does it get before then.

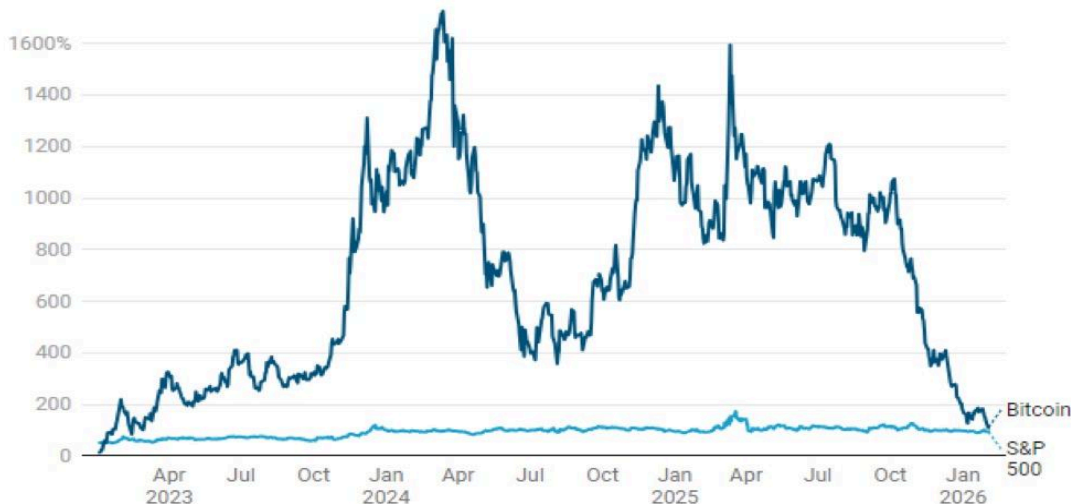
I don't focus on commodities much and I certainly don't trade them. I've always been fascinated by those who do, and the very few who have the wits to maintain a career in such. If you've been reading these memos for a while now, you'll notice I'll mention commodities when notable, although without much detail. In the October [memo](#) I addressed the topic of Trump being the biggest gold bug president in US history. Take a look at the Oval Office renovations and that is not hard to surmise. From the time of that writing, gold surged 39% and added over \$11T in market cap, driven by a multitude of factors – including central bank diversification, tariff threats, and safe-haven demand. At some point all runs have to cease and we watched this occur in rapid fashion beginning on January the 29th. To put it into scale, gold lost an entire Nvidia within 48 hours of eclipsing all time highs (ATH). In the era of trillions, billions hardly excite anymore.



Not far behind gold, the notorious cousin Bitcoin is down over one trillion from all time highs. With Bitcoin off 40% from ATHs, one can use similar Trump association logic to justify it providing asymmetry moving forward. Trump's family is known to manipulate crypto spaces and he will certainly

support a strong crypto industry throughout his second term. Secondly, appointing a new Fed chair, who views Bitcoin as technology and a speculative asset, bodes in favor of this idea. All I know is that the only thing that can save Bitcoin this year is DJT. When he decides to pump it again, you will surely hear about it. Understanding that, you can certainly trade in and out when presented with opportunities. Regardless of your stance on crypto, Bitcoin offers a trader everything it wants. I'm one who has always struggled to see Bitcoin as anything other than a *technology play*. Ultimately, technology becomes obsolete. Having that opinion leaves me no choice but to only speculate around Bitcoin and to have no long term position in it. At the end of the day, it's just entertainment.

5-year total return



If you remember our September [“Realizations of an Investor”](#) entry, we discussed the *Awesome Portfolio*, in which gold carries a base 20% weight in the portfolio. As 2025 was drawing to an end, we were taking steps to decrease gold’s overweight position and add to our cash allocation. In my juvenile investing career I’ve never appreciated a simplistic strategy more than I have since inception that portfolio. Simply allocate, watch, and rebalance (typically once a year) according to the default rules. I’ve contemplated even adding a BTC component to this, say *IBIT*. I’ll sit on that idea for now.

Awesome Portfolio		
Holding	Allocation	2025 Performance
VOO	20.0%	17.80%
BND	20.0%	7.08%
GLD	20.0%	63.68%
VNQ	20.0%	3.30%
Cash	20.0%	3.50%
Total '25 Return:		19.20%

Software is Dead

One headline I'd like to dive into is the recent bloodshed in software names across the board. This decline has been led by the narrative that software is being disrupted and replaced by AI. I am not fond of that opinion and whole heartedly disagree. Software is not a technology, it is a *business knowledge barrier*. When the current market prices SaaS as if they are destined for zero, I begin to focus on names I have the utmost conviction in.



We of course have discussed the name Rubrik (**RBRK**) for many months now and they were no more shielded than others, down 30% this year alone. I've added to my position there as of recently around \$50/share. I remain very optimistic about this name as agentic AI continues to pick up steam. I view functions like cybersecurity as inseparable from the rise in agentic AI. While this current environment is weighing heavily on software, my confidence in the use case of **RBRK** is only growing. Being a young company, one must be understanding of its volatility. When you're positioned in young growth stocks, a 25-50% retracement should be expected. Currently, RBRK has an 18% institutional ownership position. We plan to own this name throughout that institutional accumulation phase. I will continue to place my long-term bets alongside founder-led, mission-critical companies.

Outside of that darling, I've been focused around **META** and **MSFT** more than I typically have been. There is an interesting dynamic at play in the AI capex world right now that is observable in these two giants. Both having reported earnings recently, there was a near opposite reaction to the results. Microsoft finished the day down 10% while Meta jumped over 10% to the upside. Investors are seeing AI investments validate themselves within Meta's results while Microsoft's remains a future story. Investors are perceiving AI spending unfavorably for some companies, and demanding results in earnings. This dynamic is a huge strain on the market today.

Long ago, I learned about a complex pathfinding algorithm that was destined to take over the world. It could lead its users anywhere they wanted to go, provided the roads were navigable. This algorithm eventually received a cool nickname, GPS.

I write the short story above to present an idea that algorithms are only artificial until they have a use case, then they are called *software*. This is not a unique idea and has been understood for some time now. As I review software leaders during this pullback, I'm sure to keep that idea close by. The headline that "Software is Dead" is comical to me. I view this as an opportunity to watch closely and determine a sound entry on quality companies such as Microsoft. In reviewing Microsoft's chart, the 200 day MA falls around \$370/share. I do not currently own Microsoft but it will be at the top of my mind moving forward. I remain steadfast in the eventual outperformance of software names. While the market appears to be fleeing from them, I'm watching with growing intent.



Another struggling holding of mine is Reddit (**RDDT**), currently down over 30% in 2026. Similarly with Rubrik, I have only grown more confident in this name. In the December [memo](#) we discussed the positioning of the market overall and where Reddit's potential lies in the short term, taking any significant retracement as an opportunity to add to our position. With the stock back around \$150/share, we lightly added to our existing position. For perspective, I view Reddit as a social media company but also a *behavioral data company*. The ad revenue growth is tremendous and certainly contributes to Reddit's valuation, but under the hood you're realizing that the long term value growth lies in Reddit's unique data monetization pipeline. In short, Reddit's data has a very long shelf life, and it's organic. It is ultimately these various value streams that are justifying Reddit's current valuation among institutional investors. Young, unique, with high revenue growth, and a high-valuation are all traits of stocks that experience above-average volatility. Reddit is no different and if you're investing in this company you should take these pullbacks at face value.

Before we switch the tune, I briefly want to discuss a name I've mentioned recently. **AXON** is somewhat valued as a software name and it too has regressed 25% YTD. While a small position for us,

this remains a company I see as a long term investment. In an effort to remain terse, I suggest any interested party take time to review this [article](#). After their recent haircut, I see this name struggling into earnings on February the 24th. Should this stock see \$400/share or below, there will be hoards of skilled investors rushing to purchase this name. I'll be watching for \$350/share to consider adding more.

Early Leaders in 2026

We finished 2025 with a ~64% cash allocation in our tradeable account. Much of the commentary you'll read in these memos revolves around the activity within the tradeable account. There is not much need nor excitement in discussing indexing. Outside of a few purchases in **RDDT** and **RBRK**, we added slightly to our existing **IMCR** holding below \$32/share. The most effort has been given to *spectating*. For perspective, I'll include my top holdings below in no particular order, although cash remains a majority position.

Reddit	RDDT
Nvidia	NVDA
Rubrik	RBRK
Meta	META
Google	GOOG

Other than software's struggles, there has been outperformance and a masterful rotation occurring into financials, rare earth, space, and energy related names. A few that we are invested in include **VG** and **OBK**, who are faring well in 2026. I had energy names like **XOM**, **FANG**, and **COP**, on my watchlist for most of 2025 and never ended up taking any into the year end. All have performed strongly and they certainly appear to be a flight of sorts for investors. Being that we are already in **CRK**, it provides me with enough volatility for my satisfaction. Around November, the market began to lose momentum and that is when you began to see a clear rotation into the areas referenced above. Plainly speaking, the market is defensive now. I can see this best illustrated by the recent outperformance in my dividend growth portfolio. You can refer to this [memo](#) to rehash a few holdings I maintain there, Hershey (**HSY**) being the leader. Managing that has always given me a heads up on where the big boys are transitioning into. A lot of the rotation is due to MMs simply being forced to remain invested via their prospectus. This action is explained by *relative value*.

On the topic of outperformers, I don't spend much time on banks or financial stocks; however, I discovered **TFIN** years ago and have been captivated by its price action ever since. This is a bank headquartered in Dallas, Texas but it trades like a technology stock in many ways. Banks are tough cookies and don't normally obtain a high valuation, some would even say high growth in a bank is a red flag. I do not argue any one of those points, I'm simply calling out a strong stock in a currently strong sector. Not only that, but the chart is promising. I do not currently own this name but noting that it has spent much of the last nine months basing in the \$50-60/share range, if this stock can successfully turn \$65/share into support, this chart has a lot of potential for a trade.



Outside of those sectors, Intel (*INTC*) rose nearly 40% to start the year before selling off 20% after reporting earnings. Being that Trump has his fingers in this name, I believe it qualifies to be on your watchlist in some fashion. Amazon (*AMZN*) was another firecracker out of the gate in 2026 and I think it deserves equal attention. After reporting earnings this week, they fared no different than Microsoft. Again, investors are demanding results as AI spend grows ever more. All else aside, this name remains one at the top of my consideration.

A loser of sorts recently is Netflix (*NFLX*) and I will state now that I've never owned a share of the company. I sorrowfully missed the boat on this name long ago, and outside of 2022, have never been given an opportunity to enter. As I type this, *NFLX* trades around ~25x forward earnings and has begun to garner my attention to some degree. Currently trading over 40% from its highs and in the depths of the Warner Bros-Discovery saga, I can begin to justify the price I'm getting. I'll grow more confident in that potential should we see the name begin to base in some fashion. For now it remains in free fall and pales in comparison to other short term stories. For those with duration, I'd suggest adding *NFLX* to your watchlist.

I want to bring to the stage a stock I've never mentioned before, Shake Shack (*SHAK*). As plainly as I can illustrate, this is a young stock with a healthy outlook for growth. I took my starter position in early January around \$81/share. In fact, I think it was the first stock I bought in 2026. I view this as a long term position and one that I can hopefully build out at lower prices. There is no debating whether the company is priced expensively in today's market. I will look to add more in the future should we see below my average price. From a technical perspective, the chart is beautiful and illustrative of a young, high-growth company. There is a sound chance this name sees below \$70/share in the near future. With a young growth stock comes volatility, so be prepared. Fundamentally, I believe this name fares well in recessionary environments considering consumer spending habits. If you can have patient entries into high growth names, you are setting yourself up for outperformance. With earnings taking place towards the end of the month, I'll be watching this name closely.

From a Wider Perspective

I believe today's market is starting to shine light on more opportunities than were available at year's end. Like 2025, the tariff drama still exists today and therefore prevalent market volatility does too. We are witnessing big tech names report earnings and having subsequent \$100B market cap reactions. Anytime you can see that take place you know there is a springiness in the market, it's just up to the direction of that bounce. With that being said, I'm not sprinting to buy a lot of anything just yet. As discussed above, AI spending is beginning to hurt some companies, the market is reacting dramatically to the new Fed chair, and the multi-trillion dollar selloff in gold and Bitcoin serves as the cherry on top. We are not simply at the helms of tariff talks anymore, there are true fundamentals underlying this current market move. I've always voiced the fact that for us to resume a bull market, the Nasdaq has to lead the way higher. It's been that way for over four decades now. I keep that idea in mind as we wait to experience extreme oversold conditions.

Most sectors performed very well in 2025, plainly speaking, there isn't a whole lot that is "undervalued". In staying consistent with my previous comments, I'm not one who thinks the current market has a lot of immediate upside and lean more to the notion we are more likely to see a correction within the 1H of 2026 rather than the alternative.

The move we are experiencing does not come as a shock to some. We discussed our short term outlook in the December [memo](#). I've not changed my view from the above statement and I am of no opinion as to how far this correction goes. I've not changed my opinion that Nvidia's direction will largely determine the market's either. I'm watching their report and subsequent reaction very closely. It is a name I view as being caught up in a selective market selloff. Nvidia will be on the top of my buy list and I'll be looking to confirm market strength via its price action.

For now, I'll focus on the names I've mentioned above as well as in recent memos. Here are some tickers that I did not spend time detailing that are on my mind: NGVC (my grocery chain darling), PLTR, ORCL, DELL, ONDS, HIVE, TSLA, ZS, INOD, SYM, TEM, EOSE, and IREN.

Lastly, I put together commentary around my 2025 reading list that you can find [here](#). If you've been active with the hyperlinks throughout this writing, you'll notice I've archived historic memos online. Moving forward, you'll always be able to retrieve these memos [here](#).

Heartily,



Luke Cagle
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